

Seminar in Economic Policy: International Economics [ECO 5325]

Spring 2026 Syllabus
Department of Economics
Texas Tech University

Lecture

- 📍 In-Person Classes
- 🕒 Classes: 3:30–4:50pm
- 🏢 Holden Hall 127

Materials

- 📖 No textbook, notes-based

Instructor

- 👤 Philip Economides 🇮🇹
- 🌐 philip-economides.com
- ✉️ peconomi@ttu.edu
- 📍 Holden Hall 236
- 🕒 Office Hours: TU/TH 1:00–2:00pm, or by appointment (Zoom/in-person)

General Information

Canvas: Frequent use of Canvas is essential to pass this course. I will feature a detailed module list to ensure all learning assets associated with the class are easily retrieved. Each weekly module contains the lecture slides alongside associated readings. As the course proceeds, assignments will be posted to complete and submit on Canvas.

Email: Announcements will be sent frequently to students and posted on Canvas; they provide information/updates on scheduling of classes, presentations and assignment feedback. It is essential that you receive and read the class emails carefully. Important: if you do not receive the emails, contact me ASAP. Email me with any course structure questions you might have. I am typically available throughout the working week, but will make efforts to get back to students during the weekend, if I am available and the matter is urgent. When emailing me, please include “ECO 5325” in the subject line. This helps ensure that I will not overlook your email by accident.

Course summary

Description: This course provides an advanced introduction to the economics of globalization, focusing on how trade and financial integration shape national and international outcomes. The course is organized into three interrelated modules. The first develops the core theoretical foundations of international trade, covering classical and modern models that explain the structure of global production and the distributional effects of trade. The second module turns to trade policy and multinational activity, analyzing how tariffs, trade agreements, and firm-level decisions over foreign direct investment interact to shape welfare and market outcomes. The final module examines topics in international finance, including exchange rate dynamics, global capital flows, and the transmission of U.S. monetary policy to emerging markets and developing economies. Emphasis is placed on understanding how macro-financial shocks influence liquidity, reserve management, and crisis response in a globally integrated economy.

Throughout, students will engage directly with influential academic papers that have shaped modern research in international economics, and will develop skills in critical evaluation, presentation, and research design through written assignments, referee reports, and a term paper.

Prerequisites: Enrollment in this course requires successful completion of the first-year Ph.D. microeconomics and macroeconomics comprehensive examinations.

Course Structure

Grades

Grades awarded based on your relative performance in class, as determined by the following weights:

Assignment	Weight	Deadline
Class participation & paper critiques ×2	15%	Throughout term
Written Assignments ×2	20%	February 26 & April 21
Term Paper Proposal	10%	March 20
Term Paper	35%	May 5
Class Presentations ×2	20%	Scheduled during term

Table 1: Letter Grade Scale

Letter Grade	Percentage Range (%)	Grade Point Value
A	90–100	4.0
B	80–89	3.0
C	70–79	2.0
D	60–69	1.0
F	Below 60	0.0

Attendance is REQUIRED and will be MONITORED throughout the semester. Incidences of excessive absence will be dealt with in a manner consistent with University policy and procedures.

Class Participation and Paper Critiques

In each class we will be discussing at length research articles, so class participation will depend primarily on you doing the assigned readings before class. For two of the required readings (to be discussed in class) you are asked to provide a one-page critical analysis of the papers' research ideas. You can choose any two papers from the list of required readings, and the critique must be turned in by 5pm the evening before the class assigned to that reading.

Written Assignments: Referee Reports

There will be two written assignments during the length of the course. They will consist of referee reports. A referee report is a critical assessment of an unpublished paper that is submitted for publication at a peer-reviewed journal. It is an activity solicited by a journal editor and is intended to help the editor decide whether or not to pursue the paper for publication. A typical referee report is 2-4 pages (single spaced) and has the following general structure. The first few paragraphs should summarize the paper for the editor (putting it into context), describe the main model/estimation features of the paper and highlight its strengths and original contributions. The body of the report should be a critical analysis of the paper. Comments may be organized in paragraphs or in list form, and should discuss the paper's weaknesses. Where possible, you should propose directions on how the author(s) could address the identified weaknesses, as well as make recommendations for changes that would improve the paper. Comments are generally organized based on their importance for the overall quality of the paper, from major concerns to minor points. You will be provided the working papers to referee. If you have a strong preference for a particular unpublished paper, please consult with me in advance.

Paper Presentations

Each student will complete two presentations during the class. The first presentation will be 15 minutes long and will cover a published paper that is already assigned in the syllabus. The presentation will take place at the beginning of class time. These presentation papers are available on a first-come-first-served basis. Email me at peconomi@ttu.edu to confirm which paper you plan on presenting. The second presentation will be a 20-minute presentation of your term paper. Suggestions on the structure and focus of each presentation will be provided in class.

Term paper and Paper proposal

A requirement for this course is to write a term paper on a trade-related topic of your choice, decided in consultation with me. There are three options for the paper:

1. a comprehensive analysis of the existing literature that identifies unresolved research questions (must have at least 15 references published in academic journals);
2. an original paper that presents a novel research idea and derives some preliminary theoretical and/or empirical results; or
3. an empirical analysis replicating and extending the results of an influential trade paper

In any case, the term paper must show your thinking and analysis of the topic/idea and provide a concrete avenue and suggestions for future research. More details on each research option will be given in class. The term paper is due the last day of class (**May 5 2026 by midnight**).

A written one-page proposal (1-inch margins, single spaced, 12-font) motivating the topic of interest and framing the research question to be addressed in the term paper must be submitted by

the end of week 9 of classes (**March 10 2026 by 5pm**). Please schedule a meeting with me before or immediately after the submission of the proposal to discuss it.

Course Policies

For all Texas Tech policies and guidelines, please visit the following links:

<https://www.depts.ttu.edu/tlpdc/RequiredSyllabusStatements.php>

<https://www.depts.ttu.edu/tlpdc/RecommendedSyllabusStatements.php>

<https://www.depts.ttu.edu/tlpdc/Resources/Syllabus/ai-use-not-permitted.pdf>

Tentative Schedule: Lectures and Topics

Week	Date	Topic
Theory of Trade		
01	-	Intro. to International Trade & Deductive Reasoning
02	-	Modelling Trade (Heckscher-Ohlin, Armington)
03	-	Monopolistic Competition Model (Krugman)
04	-	Trade with Heterogeneous Firms (Melitz)
05	-	Comparative Adv. with Many Countries (Eaton-Kortum)
06	-	Gains from Trade (Arkolakis, Costinot, Rodriguez-Clare)
Trade Policy and Multinationals		
07	-	Distributional Consequences of Trade
08	-	Multinational Firms: Vertical & Horizontal FDI
09	-	<i>Spring Break, No Classes</i>
10	-	Optimal Tariffs & Retaliation
11	-	Trade Agreements & Political Economy
Global Finance		
12	-	Parity Relationships & Exchange Rates (Dornbusch)
13	-	Monetary Policy & Global Economy
14	-	Global Liquidity Flows & Financial Crises
15	-	International Monetary System & Policy Trade-offs
16	-	(Reserved for Presentations)
17	-	(Reserved for Presentations)

Date	Assigned Reading
1/15	Course logistics + Intro to International Trade
1/20	Feyrer, James, 2019. "Trade and Income — Exploiting Time Series in Geography", <i>AEJ Applied</i> , forthcoming.
1/22	Dornbusch, R., S. Fischer, and P.A. Samuelson, 1977. "Comparative Advantage, Trade and Payments in a Ricardian Model with a Continuum of Goods", <i>American Economic Review</i> 67, 823–839.
1/27	Krugman, P., 1980. "Scale Economies, Product Differentiation and the Pattern of Trade", <i>American Economic Review</i> 70, 950–959.
1/29 & 2/3	<i>Student presentation:</i> Bernard, A., and B. Jensen, 1999. "Exceptional Exporter Performance: Cause, Effect or Both?", <i>Journal of International Economics</i> 47, 1–25.
	Melitz, M., 2003. "The Impact of Trade on Intra-Industry Reallocations and Aggregate Industry Productivity", <i>Econometrica</i> 71, 1695–1725.
2/5	Pavcnik, N., 2002. "Trade Liberalization, Exit and Productivity Improvements: Evidence from Chilean Plants", <i>Review of Economic Studies</i> 69, 245–276.
2/10 & 2/12	<i>Student presentation:</i> Simonovska, I., and M.E., Waugh, 2014. "The Elasticity of Trade: Estimates and evidence", <i>Journal of International Economics</i> , 92, 34-50.
	Eaton, J. and S. Kortum, 2002. "Technology, Geography and Trade", <i>Econometrica</i> 70, 1741-1780.
2/17	Arkolakis, C., Costinot, A., and A. Rodríguez-Clare, 2012. "New Trade Models, Same Old Gains?", <i>American Economic Review</i> , 102, 94-130.
2/19	<i>Student presentation:</i> Arkolakis, C., Costinot, A., Donaldson, D., and A. Rodríguez-Clare, 2019. "The Elusive Pro-Competitive Effects of Trade", <i>The Review of Economic Studies</i> , 86, 46-80.
	Caliendo, L., and F. Parro, 2015. "Estimates of the Trade and Welfare Effects of NAFTA", <i>The Review of Economic Studies</i> , 82, 1-44.
2/24	Bustos, P., 2011. "Trade Liberalization, Exports and Technology Upgrading: Evidence on the Impact of MERCOSUR on the Argentinean Firms", <i>American Economic Review</i> 101, 304-340.
2/26	<i>Student presentation:</i> Fort, T., J. Pierce, and P. Schott, 2018. "New Perspectives on the Decline of US Manufacturing employment", <i>Journal of Economic Perspectives</i> , 32, 47-72.
	Autor, D., D. Dorn, and G. Hanson, 2013. "The China Syndrome: Local Labor Market Effects of Import Competition in the United States", <i>American Economic Review</i> 103(6), 2121–2168.
3/3	Helpman, E., M. Melitz, and S. Yeaple, 2004. "Exports versus FDI with Heterogeneous Firms", <i>American Economic Review</i> 94, 300–316.
3/5	<i>Student presentation:</i> Aitken, B., and A. Harrison, 1999. "Do Domestic Firms Benefit from Foreign Direct Investment? Evidence from Venezuela", <i>American Economic Review</i> 89, 605–618.
	Javorcik, B. S., 2004. "Does Foreign Direct Investment Increase the Productivity of Domestic Firms? In Search of Spillovers through Backward Linkages", <i>American Economic Review</i> 94, 605–627.

Date	Assigned Reading
3/10	Johnson, Harry G., 1953. "Optimum Tariffs and Retaliation", <i>Review of Economic Studies</i> 21, 142-153.
3/12	<i>Student presentation:</i> Fajgelbaum P.D., et al., 2020. "The Return to Protectionism", <i>The Quarterly Journal of Economics</i> , 135, 1-55.
	Ossa, R., 2014. "Trade Wars and Trade Talks with Data", <i>American Economic Review</i> , 104(12), 4104-4146.
3/24	Grossman, G.M., and E., Helpman, 1994. "Protection for Sale", <i>American Economic Review</i> , 84, 833-850.
3/26	<i>Student presentation:</i> Blonigen, B., and C., Bown, 2003. "Antidumping and Retaliation Threats", <i>Journal of International Economics</i> , 60, 249-273.
	Alessandria, et al. 2025. "Trade war and peace: US-China trade and tariff risk from 2015-2050", <i>Journal of International Economics</i> , 155, 104066.
3/31	Dornbusch, R., 1976. "Expectations and Exchange Rate Dynamics", <i>Journal of Political Economy</i> , 86, 1161-1176.
4/2	<i>Student presentation:</i> Obstfeld, M., and K., Rogoff, 1995. "The Mirage of Fixed Exchange Rates", <i>Journal of Economic Perspectives</i> , 9, 73-96.
	Engel, C., 2016. "Exchange Rates, Interest Rates, and the Risk Premium", <i>American Economic Review</i> , 106, 436-474.
4/7	Rey, H., 2018. "Dilemma not Trilemma: The Global Financial Cycle and Monetary Policy Independence.", NBER Working Paper 21162.
4/9	<i>Student presentation:</i> Bruno, V. and H.S. Shin, 2015. "Capital Flows and the Risk-Taking Channel of Monetary Policy", <i>Journal of Monetary Economics</i> , 71, 119-132.
	Gopinath, G. et al., 2020. "Dominant Currency Paradigm.", <i>American Economic Review</i> , 110, 677-719.
4/14	Calvo, G., 1998. "Capital Flows and Capital-Market Crises: The Simple Economics of Sudden Stops", <i>Journal of Applied Economics</i> , 1, 35-54.
4/16	<i>Student presentation:</i> Jeanne, O., and R. Rancière, 2011. "The Optimal Level of International Reserves for Emerging Market Countries: A New Formula and Some Applications", <i>Economic Journal</i> , 121, 905-930.
	Kaminsky, G., and C. Reinhart, 1999. "The Twin Crises: The Causes of Banking and Balance-of-Payments Problems", <i>American Economic Review</i> , 89, 473-500.
4/21	Obstfeld, M., 2015. "Trilemmas and Tradeoffs: Living with Financial Globalization", <i>The Asian Monetary Policy Forum: Insights for Central Banking</i> , Chapter 2.
4/23	<i>Student presentation:</i> Rey, H., and S. Miranda-Agrippino, 2015. "World Asset Markets and the Global Financial Cycle", <i>CEPR Discussion Papers</i> , No 10936.
	Bahaj, S., and R. Reis, 2022. "Central Bank Swap Lines", <i>Review of Economic Studies</i> , 89, 1654-1693.

Detailed Reading List

I. Neoclassical Models of Trade: The Ricardian Model of Trade

- (*)Feyrer, James, 2019. "Trade and Income – Exploiting Time Series in Geography", *AEJ Applied*, forthcoming.
- Feenstra, Robert C. *Advanced International Trade: Theory and Evidence*, Chapter 1, pp. 1–4.
- (*) Dornbusch, R., S. Fischer, and P.A. Samuelson, 1977. "Comparative Advantage, Trade and Payments in a Ricardian Model with a Continuum of Goods," *American Economic Review* 67, 823–839.
- Eaton, J., and S. Kortum, 2002. "Technology, Geography, and Trade," *Econometrica* 70(5), 1741–1779.
- Matsuyama, K., 2008. "Ricardian Trade Theory," in *The New Palgrave Dictionary of Economics*.

Empirical Evidence for the Ricardian Model

- Costinot, A., D. Donaldson, and I. Komunjer, 2011. "What Goods Do Countries Trade? A Quantitative Exploration of Ricardo's Ideas," *Review of Economic Studies*, 79, 581–608.
- Costinot, A., and D. Donaldson, 2012. "Ricardo's Theory of Comparative Advantage: Old Idea, New Evidence," *American Economic Review: Papers & Proceedings*, 102, 453–458.
- Chor, D., 2010. "Unpacking Sources of Comparative Advantage: A Quantitative Approach," *Journal of International Economics*, 82(2), 152–167.

II. Monopolistic Competition Model and Applications

Basic Monopolistic Competition Model of Trade

- (*) Krugman, P., 1980. "Scale Economies, Product Differentiation and the Pattern of Trade", *American Economic Review* 70, 950-959.
- Krugman, P., 1979. "Increasing Returns, Monopolistic Competition and International Trade", *Journal of International Economics* 9, 469-479.
- Krugman, P. (1995). "Increasing Returns, Imperfect Competition and the Positive Theory of International Trade", *Handbook of International Economics* Vol. 3, Chapter 24.
- Feenstra, R. (2004). *Advanced International Trade. Theory and Evidence*. Chapter 5.
- Helpman, H., and P. Krugman, (1985). *Market Structure and Foreign Trade*, MIT Press, Ch. 6-9.

Evidence for Monopolistic Competition Model

- Hummels, D. and J. Levinsohn, 1995. "Monopolistic Competition and International Trade: Reinterpreting the Evidence", *Quarterly Journal of Economics* 110, 799-836.
- Helpman, Elhanan, 1987. "Imperfect Competition and International Trade: Evidence from Fourteen Industrial Countries", *Journal of Japanese and International Economies* 1, 62-81.
- Hanson, G. and C. Xiang, 2004. "The Home Market Effect and Bilateral Trade Patterns", *American Economic Review* 94, 1108-1129.

III. Firm Heterogeneity Models

Basic Facts

- Bernard, A. and B. Jensen, 1999. "Exceptional Exporter Performance: Cause, Effect or Both?", *Journal of International Economics* 47: 1-25.
- Bernard, A. and B. Jensen, 2004. "Why Some Firms Export?", *Review of Economics and Statistics* 86, 561-569.
- De Loecker, J., 2007. "Do Exports Generate Higher Productivity? Evidence from Slovenia", *Journal of International Economics* (73), 69-98.

Bernard, A., Jensen, B., Redding, S. and P. Schott, 2007. "Firms in International Trade", *Journal of Economic Perspectives* 21, 105-130.

Theoretical Models of Firm Heterogeneity

(*) Melitz, M., 2003. "The Impact of Trade on Intra-Industry Reallocations and Aggregate Industry Productivity", *Econometrica* 71, 1695-1725.

(*) Eaton, J. and S. Kortum, 2002. "Technology, Geography and Trade", *Econometrica* 70, 1741-1780.

Chaney, T., 2005. "Distorted Gravity: Heterogeneous Firms, Market Structure and the Geography of International Trade", *American Economic Review* 98, 1707-1721.

Yeaple, Stephen, 2005. "A simple model of firm heterogeneity, international trade, and wages." *Journal of international Economics* 65, 1-20.

Bernard, A., Redding S., and P. Schott, 2004. "Comparative Advantage and Heterogeneous Firms", *Review of Economic Studies* 74, 31-66.

Melitz, M. and G. Ottaviano, 2008. "Market Size, Trade and Productivity", *Review of Economic Studies* 295-316.

Bernard, A., Eaton, J., Jensen, B., Kortum, S., 2003. "Plants and Productivity in International Trade", *American Economic Review* 93, 1268-1290.

Empirics on Firms Heterogeneity: New Margins of Trade

Helpman, E., Melitz, M. and Y. Rubinstein, 2008. "Estimating Trade Flows: Trading Partners and Trading Volumes", *Quarterly Journal of Economics* 123, 441-487.

Roberts, M. and J. Tybout, 1997. "The Decision to Export in Columbia: An Empirical Model with Sunk Costs", *American Economic Review* 87, 545-564.

Eaton, J., Kortum, S. and F. Kramarz, 2004. "Dissecting Trade: Firms, Industries and Export Destinations", *American Economic Review P&P* 94(2), 150-154.

Arkolakis, C., 2010. "Market Penetration Costs and the New Consumers Margin in International Trade", *Journal of Political Economy* 118, 1151-1199.

Simonovska, I., and M.E., Waugh, 2014. "The Elasticity of Trade: Estimates and evidence", *Journal of International Economics*, 92, 34-50.

IV. Topics: Gains from Trade

Core Results

(*) Arkolakis, C., Costinot, A., and A. Rodríguez-Clare, 2012. "New Trade Models, Same Old Gains?", *American Economic Review*, 102, 94-130.

Arkolakis, C., Costinot, A., Donaldson, D., and A. Rodríguez-Clare, 2019. "The Elusive Pro-Competitive Effects of Trade", *The Review of Economic Studies*, 86, 46-80.

Structural Gravity & Welfare Measurement

(*) Caliendo, L., and F., Parro, 2015. "Estimates of the Trade and Welfare Effects of NAFTA", *The Review of Economic Studies*, 82, 1-44.

Arkolakis, C., and A. Rodríguez-Clare, 2014. "Trade Theory with Numbers: Quantifying the Consequences of Globalization", *Handbook of International Economics*, 4, 197-261.

Fajgelbaum, P.D., and A.K., Khandelwal, 2016. "Measuring the Unequal Gains from Trade", *The Quarterly Journal of Economics*, 131, 1113-1180.

Arkolakis, C., Costinot, A., Donaldson, D., and A. Rodríguez-Clare, 2019. "The Elusive Gains from Trade Revisited", *American Economic Review*, 108, 2183-2216.

V. Topics: Distributional Consequences of Trade

Industry Reallocations

- (*) Pavcnik, N., 2002. "Trade Liberalization, Exit and Productivity Improvements: Evidence from Chilean Plants", *Review of Economic Studies* 69, 245-276.
- (*) Dix-Carneiro, Rafael, and Brian K. Kovak. 2017. "Trade Liberalization and Regional Dynamics." *American Economic Review*, 107 (10): 2908-46.
- (*) Bustos, P., 2011. "Trade Liberalization, Exports and Technology Upgrading: Evidence on the Impact of MERCOSUR on the Argentinean Firms", *American Economic Review* 101, 304-340.
- Amiti, M. and J. Konings, 2007. "Trade Liberalization, Intermediate Inputs and Productivity: Evidence from Indonesia", *American Economic Review* 97(5), 1611-1638.
- Trefler, D., 2004. "The Long and Short of the Canada-U.S. Free Trade Agreement", *American Economic Review* 94, 870-895.

Labor Market Effects

- (*)Autor, D., D. Dorn and G. Hanson, 2013. "The China Syndrome: Local Labor Market Effects of Import Competition in the United States", *American Economic Review* 103(6): 2121-2168.
- (*) Hummels, D., Jørgensen, R., Munch, J., and Xiang, C. 2014. "The Wage Effects of Offshoring: Evidence from Danish Matched Worker-Firm Data", *American Economic Review* 104(6), 1597-1629.
- Verhoogen, E., 2008. "Trade, Quality Upgrading and Wage Inequality in the Mexican Manufacturing Sector", *Quarterly Journal of Economics* 123, 489-530.
- Harrigan, J., A. Reshef and F. Toubal, 2016. "The March of the Techies: Technology, Trade and Job Polarization in France, 1994-2007", *NBER working paper* 22110.
- Fort, T., Pierce, J., and P.K., Schott, 2018. "New Perspectives on the Decline of US Manufacturing Employment", *Journal of Economic Perspectives*, 32, 47-72.
- Goos, M., A. Manning, and A. Salomons. "Explaining Job Polarization: Routine-Biased Technological Change and Offshoring." *American Economic Review* 104.8 (2014): 2509-26.

VI. Topics: Multinational Firms

Firms and Decision to Invest Abroad

- (*) Helpman, E., Melitz, M. and S. Yeaple, 2004. "Exports versus FDI with Heterogeneous Firms", *American Economic Review* 94, 300-316.
- Brainard, L., 1997. "An Empirical Assessment of the Proximity-Concentration Trade-off Between Multinational Sales and Trade", *American Economic Review* 87, 520-544.
- Conconi, P., A. Sapir, and M. Zanardi, 2016. "The Internationalization Process of Firms: from Exports to FDI", *Journal of International Economics* 99, 16-30.
- Yeaple, S., 2003. "The Role of Skill Endowments in the Structure of U.S. Outward Foreign Direct Investment", *Review of Economics and Statistics* 85, 726-734.
- Hanson, G., Mataloni, R., and Slaughter, M., 2005. "Vertical Production Networks in Multinational Firms", *Review of Economics and Statistics* 87, 664-678.
- Blonigen, B. and J. Piger, 2011. "Determinants of Foreign Direct Investment", University of Oregon, mimeo.
- Helpman, E., 1984. "A Simple Theory of International Trade with Multinational Corporations", *Journal of Political Economy* 92, 451-471.
- Markusen, J., and A. Venables, 2000. "The theory of endowment, intra-industry and multinational trade", *Journal of International Economics* 52, 209-234.

Boundaries of the Firm

Antras, P., 2003. "Firms, Contracts and Trade Structure", *Quarterly Journal of Economics* 118, 1375-1418.
 Antras, P., E., Helpman, 2004. "Global Sourcing", *Journal of Political Economy* 112, 552-580.
 Grossman, G. and E. Helpman, 2002. "Integration vs. Outsourcing in Industry Equilibrium", *Quarterly Journal of Economics* 117, 85-120.
 Yeaple, S., 2006. "Foreign Direct Investment and the Structure of U.S. Trade", *Journal of the European Economic Association* 4, 602-611.
 Costinot, A., Oldenski, L. and J. Rauch, 2009. "Adaptation and the Boundaries of the Multinational Firms", *Review of Economics and Statistics* 93, 298-308.
 Nunn, N. and D. Trefler, 2008. "The Boundaries of the Multinational Firm: An Empirical Analysis", in E. Helpman, D. marin and T. Verdier (Eds.), *The Organization of Firms in a Global Economy*, Harvard University Press.

Offshoring

Keller, Wolfgang and Stephen Yeaple, 2013. "The Gravity of Knowledge", *American Economic Review* 103(4), 1414-1444.
 Grossman, G. and E. Rossi-Hansberg, 2008. "Trading Tasks: A Simple Theory of Offshoring", *American Economic Review* 98, 1978-1997.
 Feenstra, R. and G. Hanson, 1999. "The Impact of Outsourcing and High-Technology Capital on Wages", *Quarterly Journal of Economics* 114, 907-940.
 Yi, K. M., 2003. "Can Vertical Specialization Explain the Growth of World Trade?", *Journal of Political Economy*, 111:1, 52-102.

FDI Spillovers

(*) Javorcik, B. S., 2004. "Does Foreign Direct Investment Increase the Productivity of Domestic Firms? In Search of Spillovers through Backward Linkages", *American Economic Review*, 605-627.
 Aitken, B. J., and A. Harrison, 1999. "Do Domestic Firms Benefit from Direct Foreign Investment? Evidence from Venezuela" *American Economic Review*, 605-618.

VII. Topics: Trade Policy

Optimal Tariffs

(*) Johnson, Harry G., 1953. "Optimum Tariffs and Retaliation", *Review of Economic Studies* 21, 142-153.
 (*) Ossa, R., 2014. "Trade Wars and Trade Talks with Data", *American Economic Review*, 104(12), 4104-4146.
 Bagwell, K., and R.W. Staiger, 1999. "An Economic Theory of GATT", *American Economic Review* 89, 215-248.
 Costinot, A., and A., Rodríguez-Clare, 2014. "Trade Theory with Numbers: Quantifying the Consequences of Globalization", *Handbook of International Economics*, Vol 4.
 Fajgelbaum P.D., et al., 2020. "The Return to Protectionism", *The Quarterly Journal of Economics*, 135, 1-55.

Trade Agreements and Political Economy

(*) Grossman, G.M., and E., Helpman, 1994. "Protection for Sale", *American Economic Review*, 84, 833-850.
 (*) Alessandria, et al. 2025. "Trade war and peace: US-China trade and tariff risk from 2015-2050", *Journal of International Economics*, 155, 104066.
 Grossman, G.M., and E., Helpman, 1995. "Trade Wars and Trade Talks", *Journal of Political Economy*, 103, 675-708.
 Maggi, G., and A., Rodríguez-Clare, 1998. "The Value of Trade Agreements in the Presence of Political Pressures", *Journal of Political Economy*, 106, 574-601.
 Bown, C., 2004. "Trade Policy under the GATT/WTO: Empirical Evidence of the Equal Treatment Rule", *Canadian Journal of Economics*, 37, 678-720.

Bown, C., and M. Crowley, 2013. "Self-Enforcing Trade Agreements: Evidence from Time-Varying Trade Policy", *American Economic Review*, 103, 1071-1090.

Mattoo, A., Mulabdic, A., and M., Ruta, 2022. "Trade creation and trade diversion in deep agreements", *Canadian Journal of Economics*, 55, 1598-1637.

Other Instruments

Blonigen, B., and C., Bown, 2003. "Antidumping and Retaliation Threats", *Journal of International Economics*, 60, 249-273.

Bao X., and L.D., Qiu, 2012. "How Do Technical Barriers to Trade Influence Trade?", *Review of International Economics*, 20, 691-706.

Sytsma, T., 2022. "Improving Preferential Market Access through Rules of Origin: Firm-Level Evidence from Bangladesh", *American Economic Journal: Economic Policy*, 14, 440-472.

Ghose, D., Khan, S.F., and A.F., Montfaucon, 2026. "Unpacking Non-Tariff Measures: Beyond the Tip of the Iceberg", Working Paper.

VIII. Topics: Global Finance

Parity Relationships and Exchange Rates

(*) Dornbusch, R., 1976. "Expectations and Exchange Rate Dynamics", *Journal of Political Economy*, 86, 1161-1176.

(*) Engel, C., 2016. "Exchange Rates, Interest Rates, and the Risk Premium", *American Economic Review*, 106, 436-474.

Fama, E., 1984. "Forward and Spot Exchange Rates", *Journal of Monetary Economics*, 14, 319-338.

Engel, C., and K. West, 2005. "Exchange Rates and Fundamentals", *Journal of Political Economy*, 113, 485-517.

Obstfeld, M., and K., Rogoff, 1995. "The Mirage of Fixed Exchange Rates", *Journal of Economic Perspectives*, 9, 73-96.

Monetary Policy and Global Economy

(*) Rey, H., 2018. "Dilemma not Trilemma: The Global Financial Cycle and Monetary Policy Independence.", NBER Working Paper 21162.

(*) Gopinath, G. et al., 2020. "Dominant Currency Paradigm.", *American Economic Review*, 110, 677-719.

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